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A few of the possible contenders, including some who did not figure in the media's speculation, came to see me to probe. My answers were straightforward. No, the finance minister had not spoken to me about it. No, I had not raised the issue with the finance minister. No, I did not intend to go and request the prime minister. Yes, I would accept an extension were it to be offered. To remove any awkwardness from the conversation, I also told them forthrightly that should they be interested in the job, they should go and request the prime minister or the finance minister, and I would not misunderstand.

It was more important for me to address the awkwardness and discomfort of my staff with regard to this situation. I kept scheduling appointments, meetings and travel, and accepting external speaking commitments as if I would continue beyond the three-year term. This set the staff speculating on whether I might have got an inside tip on an extension. I decided to lay my cards on the table and levelled with the senior staff at one Top Management Group (TMG) meeting in early July 2011. I told them the same thing that I had told the possible contenders. I added that no inferences should be drawn from my accepting commitments beyond my term; I was doing that only for maintaining continuity. Should I be replaced, my successor could always rework the schedule. Managing abrupt transitions has traditionally been one of the strengths of the Indian bureaucracy, and this would be no exception.

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The media did a comprehensive job of analysing why I might or might not get an extension, which, of course, ran along predictable lines. Pro-extension arguments were that I had steered the Reserve Bank through some very challenging times, that my experience would be handy in managing the continuing global uncertainty, and that a change in leadership would be unwarranted at a time of persistent high inflation and stalling growth.